

Class Notes

The Culture of Business

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Second Part

Class XIII - 05.05 (Consultants IV: Profitable Uncertainty)

Reading: Stein, Chapter 6 – “Uncertainty at Work”

Profitable uncertainty is the idea that consultants benefit from – and actively cultivate – uncertainty. It is both a *kind of speech* and a *kind of orientation* toward the future. Uncertainty is not a problem to be solved but a resource to be exploited: it justifies the consultant’s presence, generates new engagements, and keeps clients dependent.

Stein identifies **three mechanisms** through which consultants make uncertainty profitable:

1. **Potential worlds:** Consultants construct possible future scenarios – some desirable, some threatening – that make the client feel the need for expert guidance. By painting vivid alternative futures, they create urgency and justify action.
2. **Free decisions:** Consultants present *options, not suggestions*. This shifts the burden of decision to the client while allowing the consultant to hedge against failure. If things go wrong, it was the client’s choice.
3. **Consultant engagement:** The ongoing relationship itself becomes the product. Uncertainty never fully resolves, so the consultant is always needed for the next step.

The PAL (Profit Acquisition Letter)

Example of a consulting engagement with an African government. The PAL is a document that outlines potential revenue gains the consultant can help capture. It functions as a sales tool: it identifies “gaps” – between current revenue and potential revenue – and positions the consultant as the one who can close them.

“The Gap” as rhetorical device: “Gap” is widely used in consulting – even included in company names. It is far more common than “difference” as a term. Consultants constantly invoke gaps – revenue gaps, performance gaps, knowledge gaps. These are illustrated with charts and shapes, comparing an entity to a *potential state*. The gap is a powerful rhetorical tool because it simultaneously diagnoses a problem and implies a solution. Gaps can be “bridged,” “filled,” or “closed” – and doing so requires the consultant’s expertise. What is all of this for? To present to the client a potential world that is *just* out of reach.

Example 2: Norwegian management consulting (Henningsen)

Erik Henningsen’s *Management and Morality* – ethnography of management consultancy

seminars in Norway.

The “Over the Edge” Project in Linnfjell: A small Norwegian town (Syndinfjeld area) where the local industry (Norindustry) had historically taken care of everything – “the fire department, the nursing home... the snow in the streets during the winter.” When this paternalistic structure collapsed, the community hired consultants (for the third time) to help envision a future.

- Six seminars, three hours each; cost: 45,000 USD.
- Participants: local government, union reps, high school students, businesspeople, local and national development NGOs.
- Goal: describe future scenarios and develop “proposals for a vision and strategies for the local community.”

The consultant Pettersen asked: what did a thriving community need? Participants answered “jobs” or “night clubs.” Pettersen redirected: a *positive attitude* was crucial. “You need faith to make it happen!” When someone asked whether money (investments) was what they really needed, Pettersen responded: “don’t say money, say *strategy*. Strategy is created where there is energy, and energy is found where there is hope.”

Four future scenarios were constructed by participants:

- **Alp Village:** full-scale tourism development based on alpine skiing facilities.
- **Neo-industrial Growth:** industrial production revived through R&D on renewable energy.
- **The Green Valley:** less commercially successful future, shaped by nature conservation, sustainable agriculture, and preservation of cultural heritage.
- **Miserable Linnfjell:** continued depopulation and social decay.

A local businessman, Torstein Moen (Neo-Industrial Growth group), grew so inspired he quit his job that morning. But then the project ended – the end product was a 77-slide PowerPoint. The final presentation leaned toward “Alp Village,” so the “Green Valley” group complained. And Moen was now jobless.

Pettersen’s defense: the presentation was not what mattered most, but whether the project “succeeded in opening their eyes to new possibilities, whether it inspired and motivated them and fostered a sense of community among them.”

Connection to profitable uncertainty: The consulting engagement in Linnfjell illustrates how consultants construct *potential worlds* (four scenarios), offer options rather than solutions, and frame the value of the engagement in terms of “opening minds” rather than concrete outcomes. The uncertainty of Linnfjell’s future was made profitable – for the consultant.

McKinsey example: Report “*Automotive revolution – perspective towards 2030*” uses the same rhetoric: “Prepare for uncertainty,” “A sophisticated level of scenario planning and

agility is required.” Uncertainty is not merely acknowledged but *prescribed* – it becomes an orientation that demands more consulting.

Class XIV - 07.05 (Financial Analysts I: What They Are For and How to Become One)

Reading: Stefan Leins, *Stories of Capitalism* – ethnography of financial analysts at a Swiss Bank in Zurich.

Can analysts actually predict the market?

Leins asks: “are financial analysts actually able to act in the market in a way that no one else can?” A long line of research (Working 1934, Kendall 1953, Osborne 1959, Malkiel 1973) has shown that stock prices follow a **random walk** – past movements do not predict future ones. Across all researchers that asked this question, the answer was often “No”: we would be better off flipping a coin than following their advice, since they cannot consistently outperform the market.

- In 1999, a monkey literally outperformed 6,000 professional financial analysts.
- 2003–2009: the *Chicago Sun* ran an experiment publishing forecasts from “Adam Monk” (actually a monkey) under the title of “financial expert.” He outperformed the indexes four years in a row.
- Two monkeys and even a cat named Orlando beat the markets.

Leins: “*If these people have empirically proved to be wrong, why do they even exist?*” Why do we keep paying them?

So what are analysts actually for?

Analysts are *not there to be “right.”* They are there to **make things make sense**. One thing is to be right, and another thing is to make sense – the stories they create make sense. Their role is to construct plausible narratives that clients and colleagues can act upon.

Fundamental analysis: One of many ways of doing financial analysis – looking at a financial product (stocks, etc.) and saying what it is really worth.

- Based on the distinction between **intrinsic value** (the value an asset has inherently) and **market value** (the value at a given point in the market).
- If intrinsic value > market value → buy (undervalued). If intrinsic value < market value → sell (overvalued).
- To do this, analysts need data or must estimate it. The key question: *what* is the difference between intrinsic and market value, and *where* does it come from? They need to **put into words this explanation** – verbalizing reasons that don’t come from equations or models, but from gut feeling and intuition.
- Multiple valuation formulas exist (DCF, P/E ratios, etc.), and there is no objectively “better” one. Analysts choose based on “**market feeling**” – an intuitive, experience-based sense of which model fits the current moment.

- Valuing things in finance takes individual skill (art) and chance (luck). **Numbers don't tell stories.**

Narrative precedes calculation:

According to Copeland et al., the analyst first builds a *story* about what is happening and why, and only then selects numbers and models to support it. The narrative comes before the math. The spreadsheet is a tool of persuasion, not of discovery.

Recruitment and rites of passage:

Preconditions to become a financial analyst: “be able to work 20-hour shifts for three days in a row, how to calculate a certain cash metric, speak less, make a solution out of thin air, have to be handy with an Excel spreadsheet.”

In Switzerland, a network of relevant universities exports professionals to the banking industry. All analysts have a master's in finance. Leins: “For banking, banks go to the source” – the only two universities that matter are UZH and St. Gallen. Banking networks are more refined than the Jockey Club in Argentina.

Marcel's recruitment process (how a senior analyst identifies future analysts):

1. At networking events, Marcel looks for the student willing to **summarize the event** at the end of the day. That person – able to keep a story together – enters Marcel's focus group.
2. Selected students are offered **summer internships** to test whether they can adopt the analyst lifestyle – not the workload itself, but commitment to the future job.
3. After the internship, they are sent back to their universities to **earn the master's degree**.
4. Once graduated, candidates apply and are **assessed online** for interpersonal, numerical, and linguistic skills. Very narrow margin to pass.
5. The **first interview** asks questions like “What is the GDP of Ghana?” (no one knows). The focus is not academic achievement but **rhetorical skills, imagination, and self-confidence** – the ability to build a realistic narrative on the spot.
6. Once offered a position, junior staff must pass **three examinations**, each requiring memorization of three to five finance textbooks. Long working hours and self-discipline – a *rite of passage*.

They look beyond grades: they want rhetorically strong, self-confident, competitive, and *discrete* people. Analysts are trained to be gentlemen – a very different job from a consultant.

The **CFA (Chartered Financial Analyst)** credential serves as further symbolic capital, signaling expertise and discipline.

Symbolic capital and education:

No other Swiss Bank department has as many highly educated people as financial analysis. This is partly due to the complexity of the work, but also because analysts need to **present themselves as the ones who are able to understand the market**. A master's degree, PhD, or CFA underlines their symbolic capital. Education also grants access to **social networks** – this is a very network-oriented job.

Class XV - 12.05 (Financial Analysts II: The Stories that Hold the Economy Together)

Reading: Leins, *Stories of Capitalism* (continued).

The job of a financial analyst is to **tell good stories**.

The search for information:

Financial analysts rely on a wide range of sources:

- **Newspapers and news services** (Bloomberg, Reuters) – the baseline that everyone reads.
- **Company reports** – structured documents that present a company's financial health, strategy, and outlook.
- **Personal networks** – contacts cultivated at conferences, through business cards, and via alumni connections. These provide informal, sometimes privileged, information.

The temporality of information:

Information has a **shelf life**. Once information is widely known, it is “priced in” – already reflected in market prices – and therefore no longer useful for gaining an edge. The value of information decays rapidly. Analysts must constantly search for information that is *not yet* priced in.

Examples of information temporality:

- **Hollande's election (France):** Markets reacted before analysts could fully process the implications. By the time an analyst writes a report, the market has already moved.
- **Fukushima disaster:** The nuclear catastrophe instantly affected energy stocks worldwide. Speed of reaction was everything.
- **Arab Spring:** Political upheaval created uncertainty in markets. Those who anticipated it profited; those who reacted after the fact were too late.

The tension of originality:

Analysts face a paradox: they all read the same newspapers, use the same Bloomberg terminals, and attend the same conferences. Using **common sources reduces risk** (if everyone agrees, you are less likely to be singled out for a bad call), but to add value, an analyst must **stand out** – offer an interpretation that others have not seen. Originality is both demanded and dangerous.

Company reports:

Company reports are a key genre. They follow a standardized structure: financial statements, management discussion, outlook. But analysts do not simply read them – they *interpret* them, looking for signals, omissions, and tone. The report is not transparent data; it is a **crafted narrative** that the company wants to tell about itself, and the analyst's job is to read between the lines.

Stories holding the economy together:

Leins's central argument: the economy does not run on numbers alone. It runs on **stories** – narratives that make sense of data, that connect past events to future expectations, that give actors reasons to buy, sell, or hold. Financial analysts are, fundamentally, *storytellers*. Their stories do not merely describe the economy – they **constitute** it, shaping expectations and actions that move markets.

Class XVI - 14.05 (The Entrepreneurial Self)

The Entrepreneurial Self is an *ethical disposition towards the self* – a way of relating to oneself that has become dominant in contemporary capitalism. It is not about being an entrepreneur in the literal sense, but about understanding oneself as a project to be managed, optimized, and invested in.

Five historical strands converge in the formation of the Entrepreneurial Self:

1. **Professional expectations (long 20th century):** The shift from stable, lifelong employment at a single company (e.g., Western Electric, 1961) to a world where staying too long at one job is seen as a career risk. Forbes, TikTok, and Medium all now advise against staying more than two years without a promotion. The expectation is perpetual mobility.
2. **Transferable skills:** The kinds of skills we are expected to value, acquire, reward, and seek out are no longer craft-specific but *transferable* – communication, leadership, adaptability, critical thinking. What matters is identifying and *articulating* these skills, making things matter in terms of them.
3. **Embracing uncertainty (Dot-Com crash, 2000):** “People (as opposed to professional investors) began to believe that they could profit from economic uncertainty and that they should embrace rather than fear the corporate changes under way.” Uncertainty became not a threat but an opportunity.
4. **Managerialism:** The rise of a professional managerial class (James Burnham, *The Managerial Revolution*) – connects back to the world of consultants studied earlier.
5. **Human capital (Schultz, 1961):** Theodore W. Schultz’s “Investment in Human Capital” reframed the relationship between labour and capital. Traditionally, Marx had posed labour *vs.* capital – workers organized collectively against owners. Schultz’s move was to recast labour *towards* capital: skills and knowledge *are* a form of capital, produced by deliberate investment, growing faster than conventional (nonhuman) capital. This dissolves the old opposition: beyond unions, institutions, and rights, we are all able (and expected) to invest in ourselves – to become capitalists of our own human capital. Uber’s slogan “Be Your Own Boss” captures this logic perfectly.

These strands converge in the Entrepreneurial Self:

Characteristics: self-sufficient; self-appreciating; self-optimizing; self-actualizing; flexible; independent; malleable; goal-oriented; prone to self-evaluation, benchmarking, and milestone-setting; adaptive; performative.

More than workers, bosses, consumers, or producers, these selves are eminently *entrepreneurs* who learn to see and understand themselves – their bodies, their minds, their personalities, their histories – as an **alterable set of assets**. They are managers of a **portfolio of conducts** pertaining to all aspects of their lives.

The body as asset:

HBR article (Liane Davey, “Reframe How You Think About Self-Care”): managers need energy, patience, self-control – so sleep, nutrition, exercise, and relaxation are framed not as personal needs but as *investments*. “If you are an important asset, how could depriving, devaluing, and depreciating that asset by running it in harsh conditions, powering it with improper fuel, and neglecting routine maintenance possibly be good for your organization?” The body becomes amenable to calculation and speculation – from extreme morning routines (3:52 AM workouts) to plastic surgery for career trajectory.

One’s history or specific path as asset:

Personal trauma, grief, and struggles become monetizable. “Monetizing Your Grief, Struggles, and Trauma” (Medium). China’s “sympathy economy” – livestreamers selling through personal tragedy. TED talks on “What Trauma Taught Me About Resilience.” Even volunteering is reframed: the EU Youth Portal presents it as building transferable skills for “better job prospects.” Everything in one’s biography becomes raw material for the entrepreneurial self.

The problem with Entrepreneurial Selves:

How do we spot them? How do we show ourselves as Entrepreneurial Selves? For traditional professions (builder, plumber, farmer, architect, veterinarian), quality is visible in the product – a healthy dog, a good wall, a working program. But for the roles that dominate the modern economy (managers, consultants, analysts, HR staff, marketing, CEOs), there is no equivalent tangible output. How do we spot “self-sufficient, self-appreciating, self-optimizing, flexible, independent, goal-oriented”?

The answer: a whole **economy of signals** – performances, benchmarks, milestones, endorsements, awards (“Employee of the Month”), LinkedIn endorsements, certificates, personal branding. Job interviews ask questions designed to elicit the entrepreneurial self: “Where do you see yourself in five years?” “What is your greatest weakness?” “Give me an example of a challenge you overcame.” These are not about skills – they are about performing the self as a project. LinkedIn posts celebrating 16-hour workdays or working from the ER are performances of this disposition.

Selves that are constantly self-measuring, calculating, monitoring, enhancing – tools like Myers-Briggs (MBTI) exemplify this: personality rendered legible, categorizable, optimizable. Even UTDT offers a “Marca Personal” (Personal Branding) program.

The Entrepreneurial Self 2.0: the ethicisation of conflict

Why do we care? Because tiredness, awful jobs, poor sales, and low income get reframed through the lens of the Entrepreneurial Self. If you are the entrepreneur of your own life, then failure is *your* failure – a moral failure of insufficient self-optimization, not a structural problem. Conflict becomes ethicised: what might be a labour dispute or a systemic inequality becomes a question of personal responsibility and self-improvement.

Class XVII - 19.05 (The Entrepreneurial Self as a Business)

Historical evolution of the “self”:

Since antiquity: “be yourself” meant owning your house or properties – having stuff around you.

Industrial revolution: the “self” becomes a property that can be rented in a factory or for a specific purpose. Two defining features of this era:

1. **Exclusivity:** “You are mine for decades to come.” The most valuable value was **loyalty**. You are loyal to your company and your company is loyal to its workers. Loyalty involved a relationship, built on exclusivity (“I work just for you”) because labour was in short supply. Employers encouraged commitment with stable pay, insurance, and promotions – *treats as a reward for loyalty*. Companies gave these bonuses for workers to stay (**pay-to-stay**). If you were not happy, they could make it work.
2. **Boundaries:** From 9 to 5. *You live your life outside of that boundary.*

The contemporary shift – the self as a business:

The self as a property is gone. Now: the *self as a business*. “I am a bundle of skills, assets and experiences that must be managed and constantly enhanced. Be the CEO of Me Inc.” In order to be employable, *represent yourself as a business* – with experiences, skills, personality.

Loyalty was replaced by passion:

Loyalty is a two-way street – be loyal to someone and vice versa, build it together. **Passion** is an individual value. If you don’t have passion, you won’t get the job. For passion, you won’t get a house or a mortgage – you get a health chatbot, gym memberships, discounts. You are *no longer an employee*; you become a “**collaborator**” because you “work together” – two businesses collaborating with each other.

Companies are now **paying people to leave** because loyalty matters so little (**pay-to-quit**). Consistently, *no exclusivity is expected or offered* any more.

Boundaries are dead. As employees we are expected to be available on demand. Since we are always on, whatever we do outside working hours also affects our professional standing (e.g., the Coldplay kiss cam incident).

Four concrete manifestations of the self-as-business:

1. **Skills:** Historically, skills were unambiguous, linear, concrete, and job-related. Now, things all humans do – like communication, replying to emails, personal tone – have been *assetized*. Speaking and listening became a “skill.” You are expected to know and rank your skills.
2. **CVs and LinkedIn:** When we were property, a CV was a list of what you had done. Now a resume is no longer a historical record of abilities but a **marketing document**. We no longer tell people what we do; we present metrics and results. Back in the day, references and grades would do the same job.
3. **Personal brand:** If you are your own CEO, you are the brand. Since staying at a company has no value and people switch jobs so often, people have to **craft**

a narrative about their work history for recruiters. The *cohesiveness of the narrative* is crucial for a personal brand.

4. **Networking:** There are far too many jobs and too much demand. Employers increasingly automatize CV reception. The **applicant tracking system** is designed to manage the workload, which is not the same as finding the best candidate. Networking is crucial to bypass these systems because your contacts know you.

Class XIX - 26.05 (From Makerspaces to Venture Capitalism II: Hype, Pitching, Leveraging)

Readings: Kaushik Sunder Rajan, *Biocapital*; Angela K. Vandenbroek, “Pitching Hype: Storytelling and Entrepreneurship”; Jamie Wong, “Growth Hacking: On the Social Dimensions of High-Leverage Growth in Venture Capitalism.”

Hype

Hype is not about truth or falsity, but about **credibility or incredibility**. It is a **credible, fabricated truth** that entrepreneurs and investors work toward – rather than a fabricated lie meant to defraud and deceive. Hype becomes a way for imagining the future and working to enact that future.

Example: Incyte and the Human Genome Project

At the Eleventh International Genome Sequencing and Analysis Conference (Miami, 1999), Dr. Randy Scott, president and chief scientific officer of Incyte, announced an estimate of 140,000 human genes – a sharp upward revision from Dr. Craig Venter’s earlier estimate of 60,000–80,000. Companies like Celera and Incyte were “on the verge of generating a working draft sequence of the human genome.”

Incyte scientists realized that while biologists cannot recognize where genes lie on DNA, human cells can. By tracing the cell’s work, they estimated 130,000 genes using one method and 143,000 using another, averaging to 140,000. We now know humans have about **26,000–30,000 genes**.

The product of a genome company is the creation of *information* that is a condition of possibility for the creation of a drug. The conditions of its own possibility can only be created through a *vision*. This is why the **vision of the future creates the conditions of possibility for the existence of the company in the present**. Visions do not even have to be *true* to sell.

Scott was selling a vision for the future – a timed series of projections through 2010. He finished his talk with a poignant personal story about a friend recently diagnosed with cancer who, ten years later, “could have been saved by genomics.” At that perfectly orchestrated moment, Scott broke down and cried.

Key insight: “*start-ups were taught to produce not products to be sold, but promises to be invested in.*”

Pitching

Example: STHLM Tech Meetup (Stockholm) – Europe’s largest monthly gathering of startups, with top angel investors and VC firms (EQT, Creandum, Northzone, Norrskén, Techstars). Format: networking, presentations, interviews, startup pitches.

The “Forests!” pitch (Vandenbroek): Two entrepreneurs, Per and Jonna, pitched their startup to a VC panel. They opened with a somber story about an endangered forest-dwelling species and talked about forests and climate change. The moderator interrupted when the animal reappeared on the fourth slide: “Oh, this guy again!” Their actual product was a social logbook mobile app for amateur naturalists that crowdsourced data for research. The moderator cut them off: “Let’s pause there because I think we are about to get to the good stuff.”

VCs reacted: “How do they make money?” “I still don’t know what they do.” One VC said: “This has potential. But you’ve told me a nice story about conservation. And that is not what I need to hear. What **I need is the core of your business**; the conservation is a nice side effect you can mention on the side.” Another added: “**An investor has to know how they are going to get their money back**. Those things can go together, but you have to understand your motivations are different.”

The correct pitch, according to VCs: “I’ve built a great app that **people love to use**. It’s a digital record book for hikers, birders, whatever – it has **social stuff, gamification, it’s addicting, people want to pay to use it**. How do I know? Because **we already have ten thousand users**. And we can use the data to save the planet by giving it to scientists.” An investor shouted: “I would give you money for that!”

VC investors have a **responsibility to grow their fund** through investments that will **scale their valuations exponentially** over the term of investment. Even VCs who care deeply about climate change have little to offer as an ally on that matter alone.

Leveraging

Leveraging means borrowing money from lenders, banks, or investors – **taking on risk in order to do business with resources that one does not own** for the sake of speed and flexibility to take things further.

A “gyroscope” economy: It cannot balance unless spun fast. Make it or leave.

Junyi’s story (Wong): Junyi and his classmate began making robot prototypes to pitch to investors. During a break in China, a VC firm offered a significant amount of money for a small stake in their startup – which *did not yet have a saleable product*. They worked frantically and realized they could only last a few more months at their current “**burn rate**” – the speed at which they were using up liquidity as they hired employees and prototyped iterations.

Their original VCs referred them to “Big Tech1” (a major tech company with a VC arm). Ben, head of the VC arm, invited them to demo a unit on campus. Ben specified requirements: clear debris, sort rubbish types, operate via remote control, avoid obstacles, cope with uneven ground and steps. Junyi agreed – *his team had no idea if they could even achieve that*.

They met other potential investors, who knew Junyi's original VC and knew Big Tech1 had shown interest. Junyi could not yet secure contracts, but he extracted **“letters of intent”** – stating that should he secure express intent from Big Tech1, they would want the robots too. Leveraging his VC's and Big Tech1's reputation, Junyi established **conditional ties** (like crowdfunding – no actual money).

As demo day approached, they hit a snag: signal interference between the robot's GPS sensor and Wi-Fi receiver. Funds were drying up. On demo day at Big Tech1, the issue was unresolved. Big Tech1 employees crowded around. In utter panic, the engineers huddled around the robot, shielding it from view. One engineer gave it a hearty thump. It worked – the robot operated perfectly for the few minutes of the demo.

Shortly after, Junyi received a letter from Big Tech1 expressing willingness to station robots on their campus – *if* they fulfilled a set of requirements within a stated timeline. As word got out, more letters of intent came in. Junyi used these to knock on VC doors. Given this “surge” in interested consumers (a proxy for “demand”), Junyi's team secured more VC funding. The company narrowly avoided implosion and actually shot up in value.

This “growth hacking” was a **virtuoso display of craftiness**. Even though Junyi was not technologically capable of producing the robot, he was *artfully* leveraging social relationships, money, risk, reputation, and credibility to hold this *fabricated truth* together until the day he would become technologically accountable.

Conclusion: Hype, pitching, and leveraging constitute an *ethos that seizes our rationality from beyond* – a logic of credible futures, performed promises, and leveraged relationships that sustains the startup world.